Response to Referee R2

We thank the editor and referees for their continued engagement with our paper. Below we provide a brief summary of the main changes in this revision and then respond to each comment in turn.

- **Stock-return analysis.** Following R2's suggestion, the paper now presents the stock market evidence in a table and three event figures. Table 1 reports raw returns for four portfolios—the value-weighted market, equal-weighted portfolios of firms with and without gold-clause exposure, and the gold-exposure-weighted portfolio—over each of the three key events, along with firm counts. Figures 3–5 plot all four series around each event. Over the Joint Resolution window, gold-exposed firms returned 30.9–31.4% against 25.4% for comparable non-exposed firms and 12.1% for the market. A new Internet Appendix section examines every intermediate legal event of the litigation (the first hearing, the lower-court rulings, and the certiorari grants) and reports the corresponding return differentials (Table IA.20); apart from the November 1934 window, in which the second certiorari grant coincided with the midterm election and which we discuss separately, none produced significant differential returns.

- **Robustness with the full set of fixed effects.** Following R6's request, new Internet Appendix Table IA.19 re-estimates columns 2–10 of Table 7 with industry-year fixed effects, so that every characteristic-control specification is also shown with the full fixed-effect structure. $1933 \times \tilde{d}$ remains significant at the 5% level in seven of nine specifications (10% in all nine); the $1934 \times \tilde{d}$ point estimates remain negative but shrink to some extent and lose precision, falling below conventional significance in several columns. Section 5.5 now states the underlying power constraint plainly, in addition to the mechanical collinearity that arises when the characteristic-period interactions and industry-year cells are absorbed simultaneously.

- **Limitations of the exposure measure.** Section 5.5 now contains an explicit limitations paragraph acknowledging that, because virtually all corporate bonds of the era carried gold clauses while preferred shares carried none, our exposure measure is necessarily entangled with the composition of a firm's fixed claims, and that our placebo and control strategies mitigate but cannot fully eliminate this concern.

- **Pre-trends and event-time patterns.** Section 5.2 now acknowledges directly that, given the width of the confidence intervals around individual year estimates, the litigation-year coefficients cannot be statistically distinguished from individual pre-treatment estimates such as the 1930 coefficient, and clarifies that the support for the parallel-trends assumption rests on the full pre-treatment pattern.

- **Liberty bond discussion.** We have revised the historical background section to clarify why Liberty Bond prices rose during the Supreme Court arguments in January 1935. Since Liberty Bonds were gold-denominated government obligations, a government loss would have obligated the Treasury to honor gold payments at the then-prevailing price of $35 per ounce—69% above the pre-abrogation level—increasing the real value of the bonds to holders. We have also added the missing *New York Times* citation.

That said, I think there is one larger issue outstanding. The authors reference the portfolio returns (stock market responses) to various legal developments in section 3 (page 10). This analysis is insightful but not well-explained. In my opinion, the return analysis deserves a table and more detail on the data and summary statistics, some of which can be provided in the appendix. A figure might help too. Consider time series of (cumulative) returns for a) the market, b) firms with gold exposure (unweighted), firms with gold exposure (Weighted as indicated in footnote 10) and d) firms without gold exposure. Such a figure with "event lines" (joint resolution, first lawsuits, potentially lower court rulings, start of Supreme Court arguments (poor government showing), Supreme Court decision) would visualize the argument of the authors. I could also see the return analysis in a regression framework. The point here is that illustrate that market clearly responded to relevant events around the abrogation supporting the key identification argument of the authors.

Thank you for this suggestion. We have added Table 1 and three event-study figures (Figures 3–5), each plotting exactly the four series the referee lists—the CRSP value-weighted market, equal-weighted portfolios of firms with and without gold-clause exposure, and the gold-exposure-weighted portfolio of footnote 10—all constructed from CRSP daily returns. Table 1 reports the raw returns of the four portfolios over each event window; Internet Appendix Table IA.20 adds the gold-minus-non-gold differential, with a t-statistic based on the calm-period variability of the daily differential, for every intermediate litigation event. The central result is the Joint Resolution window (May 26–June 6, 1933): the market gained 12.1%, the non-exposed portfolio 25.4%, the gold-exposed portfolio 30.9%, and the exposure-weighted portfolio 31.4%; the exposed-minus-non-exposed differential of +5.5 percentage points ($t \approx 3.3$) is the gold-specific response that the abrogation's debt relief predicts.

The oral-arguments window itself is nearly flat (−1.3% market, −1.4% gold-weighted). One possible reason is that news of the government's poor showing may have reached the public only gradually—many newspapers reported on the argument sessions on January 11 and 12 (Edwards, 2018): from January 11 through January 17 the market fell a further 3.0% and the gold-weighted portfolio 4.6% (the gold-versus-non-gold differential over these days, −1.2 percentage points, is not statistically significant), with Liberty Bond prices reaching their highest level since 1917 by January 13 (New York Times, 1935). Section 3 now makes this point directly.

The referee also suggests a single full-period series with event lines. We constructed this figure and chose not to include it: over a two-year window dominated by the 1933 reflation rally, the cumulative scale compresses the event-window movements that carry the identification. The event-line evidence instead appears at the event level, with the event dates marked in Figures 3–5.

On the first lawsuits and lower court rulings, new Internet Appendix Section IA.1 (Table IA.20) examines every intermediate legal step: the first hearing on the enforceability of gold clauses (May 22–24, 1933), the lower-court rulings upholding the Joint Resolution (*In re Missouri Pacific*, June 20, 1934; the *Norman* affirmance, July 3, 1934), and the certiorari grants (October 8 and November 5, 1934). None of the judicial steps through October produced a significant differential response (differentials of +1.4, −1.2, +0.7, and +0.7 percentage points, all with $|t| \leq 1.5$), consistent with procedural steps that confirmed the status quo being largely anticipated; a footnote in Section 3 points readers to this analysis. The exception is November 5–8, 1934 (+3.5 percentage points, $t \approx 3.6$), which confounds the second certiorari grant with the midterm election—the exchange was closed on election day—and which we identified in the course of the analysis rather than ex ante; we therefore discuss it in Section IA.1 (Figure IA.2) as corroborating evidence rather than as a main event.

One small point on last sentence page 12/top page 13. I don't think that the Liberty bond prices reflect a flight to safety. Indeed, Liberty bonds were very much part of debate since they were to be paid in gold and in the end were not due to the US leaving the gold standard (which is why some argue that this constitutes sovereign default). If anything, the high prices of Liberty bonds indicated that observations thought it likely that the government could lose the case. Either the authors provide a better explanation for the Liberty bond behavior, which is currently stated without the appropriate context or they delete the sentence. Also, the citation to the NYTimes article is missing.

Thank you for this comment. We have revised the passage to provide the appropriate context for the Liberty Bond price increase. Liberty Bonds were themselves gold-denominated government obligations, promising payment in gold at par. A government loss in the gold clause cases would have obligated the Treasury to honor that promise at the then-prevailing price of $35 per ounce—69% above the pre-abrogation level—increasing the real value of the bonds to holders. Their rising prices in January 1935 therefore reflected investor expectations that the government could lose the case. The historical background section now reads:

> "During the three days of oral arguments (January 8–10), the market reacted little: it fell 1.3%, and our gold-exposure-weighted portfolio declined 1.4%. News of the government's poor showing reached the public only gradually—many newspapers reported on the argument sessions on January 11 and 12 (Edwards, 2018)—and it is as the news spread that a differential appears: between January 11 and January 17, the market fell a further 3.0% while the gold-exposure-weighted portfolio declined 4.6%. By January 13, the *New York Times* reported that, amid 'the speculative fever for gold,' Liberty Bond prices had reached their highest level since 1917 (New York Times, 1935). Since Liberty Bonds were themselves gold-denominated government obligations, their rising prices reflected investor expectations that the government could lose the case and be forced to honor full gold payments."

We have also added the missing citation: *New York Times*, "Gold Issue Hits Highest since 1917," January 13, 1935, p. 2.

REFERENCES

Edwards, Sebastian, 2018, *American Default: The Untold Story of FDR, the Supreme Court, and the Battle Over Gold* (Princeton University Press).

New York Times, 1935, Gold issue hits highest since 1917, January 13, p. 2.